Reasons to Use AI to Accelerate Contract Review

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Review of Last Presentation

Refer to previous presentation on How AI is used in Legal.

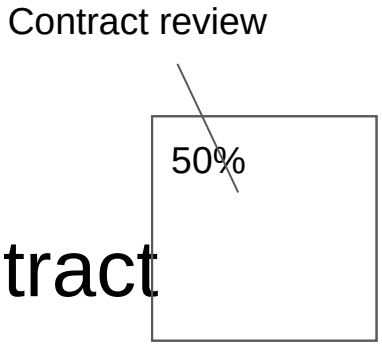
ML can detect different clauses of a contract and “read” it much faster than a human can manually.

ML can redact clauses (or portions thereof) such as personal information or confidential provisions in a contract or legal document.

Conclusion: Through ML, we can automate the low-level, menial aspects of due diligence.

Why AI in Contract Review?

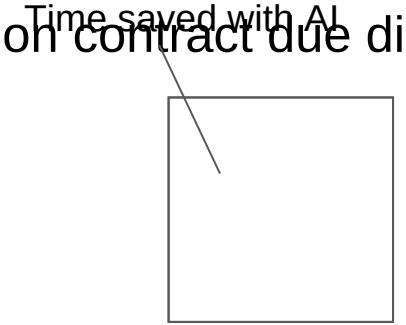
Contract Review without AI



Law firms spend 50% of time doing contract review1,2

Average of 2,198 contracts reviewed per company per year2

Lawyers save 20-40% of time on contract due diligence using AI3



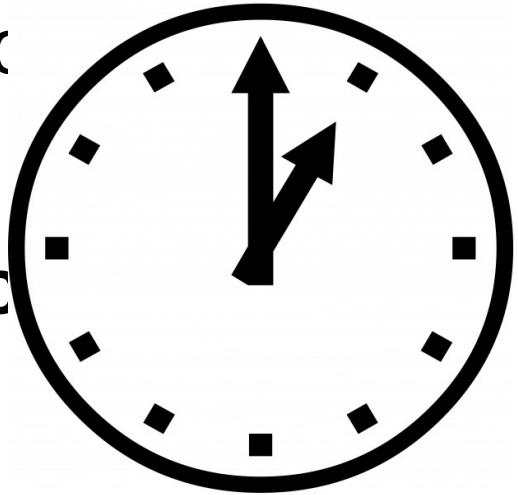
AI Saves Time and Increases Productivity

JP Morgan COIN (Contract Intelligence) software reviewed loan agreements:4

Manual contract review = 360,000 ho

AI contract review = seconds

360,000 hours of work done in sec



AI Minimizes Human Error

Humans…

make mistakes

cannot work constantly

are inconsistent in their work

AI

can work constantly

produces consistent work quality and product

Image credit: WebStockReview

Other Benefits of AI in Legal

Automate low-level, menial labor

Allow early detection of variation and prediction

Improve organizational and logical structure

Reduce attorney stress & frustration

Misconceptions of AI5

“AI will replace all jobs”

“Only low-skilled and manual workers will be replaced by AI and automation”

“Super-intelligent computers will become better than humans at doing anything we can do”

“Artificial intelligence will quickly overtake and outpace human intelligence”

AI cannot replace human lawyers.

AI is a tool to help humans be more efficient and effective.

References

1 https://www.cebglobal.com/compliance-legal/smb-legal/contract-management-midsized.html

2 https://www.acc.com/sites/default/files/2019-06/ACC_Benchmark_062019.pdf

3 https://www.topbots.com/automating-the-law-a-landscape-of-legal-a-i-solutions/

4 https://www.bloomberg.com/news/articles/2017-02-28/jpmorgan-marshals-an-army-of-developers-to-automate-high-finance

5 https://www.forbes.com/sites/bernardmarr/2017/10/03/5-myths-about-artificial-intelligence-ai-you-must-stop-believing/#1129ed99273

Additional material:

https://www.forbes.com/sites/robtoews/2019/12/19/ai-will-transform-the-field-of-law/#11f26b257f01